Tax Management
Assignment No. 5

Name : Alina Riaz
Roll No : 243325
Class : BSAF-eve 5
Subject : Tax Management

Q No 1 :

Mr. A
Tax year 2027
Tax year Ended, June 30, 2027
Residential Status; Resident
Computation of Taxable income

Description	Amount Rs	Amount Rs
Income from Salary (12);		
Basic Salary	1,117,245	
Reward	22,062	
Bonus	300,000	
House Rent Allowance	643,514	
Utility Allowance	111,724	
Conveyance Facility:		
Cost of Vehicle x Rate x Time Period	55,000	
Rs 1100,000 x 5% => Rs 55,000		
Loan from employer		
Amount loan x [Benchmark Rate - interest rate]	115,000	
x Time Period		
Rs 1150,000 [10% - 0%] x 1		
Rs 1,150,000 x 10% => Rs 115,000		
Income from Salary		2,364,545

Capital Gain (37);			
Fair Market Value	5278,750		
No. of Share x Price in US$ x exchange rate			
[1250 x $41 x Rs 103]			
less: Cost of Share	(4635,000)		
No. of Share x Price in US$ x exchange rate			
[1250 x $36 x Rs 103]			
Capital Gain		643,750	
Total income		3008,295	
Taxable income		3008,295	
less: income Subject to SBI [Separate block income]			
Gain on sale of Shares		(643,750)	
Taxable income Subject to			
Normal Tax		2364,545	
Computation of Taxable income			
Decision of tax rates applicability;			
income from Salary / Total Salary			
Rs 2364,545 / Rs 3008,295			
= 78.6%			
Income from Salary is more than 75% of the total income, therefore Mr. A is an Salaried individual			
Fixed rate on Rs 2200,000/-		116,000	
Tax @ 20% on amount exceeding Rs 2200,000 -			
[Rs 2364,545 - Rs 2200,000] x 20%		32,909	
Rs 164,545 x 20%			
Tax Charge On Normal income		148,909	
Add: Tax on SBI - Gain on sale of share		96,563	

Rs 643,750 x 15%			
Tax Chargeable			245,472
less: Tax Deducted at Source;			
Tax Deducted from Salary by Company			(270,751)
Income tax Refundable			25,279

Q No 2 :

Mr. Mushtaq

Tax year 2027

Tax year Ended: June 30, 2027

Residential Status: Resident

Computation of Taxable income

Description	Amount Rs	Amount Rs	Amount Rs
Income from Salary (12);			
Basic Salary	1225,000		
bonus	50,000		
Salary		1,275,000	
Conveyance allowance		50,000	
House Rent Allowance		101,250	
Leave Fare Assistance		60,000	
Conveyance Facility:-			
Cost of Vehicle x Rate x Time		20,000	
Rs 400,000 x 5% => 20,000			
Running Cost paid by employer			
to official business use			
Employee Share Schemes			
Fair market Value	55,000		
No of Shares x Rs Per Share			
5000 Shares x Rs 11/ Share			

5000 x 11 => 55,000			
less: Discount			
Rs 55,000 x 25% => Rs 13,750			
Employer Share Purchase			
Rs [55,000 - 13,750] = 41,250	(41,250)		
Employee Share benefit		13,750	
Total Salary			1,520,000
Taxable income			1,520,000
Taxable income Subject to			
Normal tax			1,520,000
Computation of taxable income;			
Decision of tax rate applicability			
income from Salary / Total Salary			
= 1520,000 / 1,520,000			
= 1 x 100% => 100%			
Income from Salary is more than			
75% of the total income, therefore			
Mr. Mushtaq is Salaried individual			
Fixed rate on Rs 1200,000			6,000
Tax @ 11% on amount exceeding			
Rs 1200,000 -			
[1520,000 - 1200,000] x 11%			
[320,000 x 11%]			35,200
income tax Chargeable on Normal income			41,200
Tax Credit Allowed u/s 61 on Donation			
for Charitable Purpose;			
[Tax Payable / Taxable income] x Amount			
admissible for tax Credit			
[41,200 / 1520,000] x 20,000			
=> 0.0271053 x 20,000 => 542.11			

Rule;			
30% of actual taxable income			
of individual			
30% x 1520,000 => 456,000			
OR			
Amount of Donation			(542.11)
Rs 20,000 ✓			
[Which ever is less]			40657.89
Income Tax Chargeable after			
tax Credit			
Tax Payable with Return			40657.89

Q No 3 :

Mr. Bashir

Tax year 2027

Tax year Ended: June 30, 2027

Residential Status: Resident

Computation of taxable income

Description	Amount Rs	Amount Rs	Amount Rs
Income from Salary (12);			
Company A;			
Basic Salary	714,158		
bonus	150,000		
Salary		864,158	
House Rent allowance		258,663	
Utility Allowance		71,415	
Leave encashment		77,783	

Medical reimbursement		35,000	
Income from Salary -			1307,019
Company - A - 1			
Company - B;			
basic Salary	572,572		
bonus	71,800		
Salary		644,372	
house rent allowance		222,746	
utility allowance		57,257	
medical reimbursement		25,000	
Value of Conveyance			
Cost of Vehicle x Rate x time period		55,000	
Rs 1100,000 x 5% => 55,000			
Income from salary - Company B - 2			1004,375
Taxable income			
from Salary - 1 + 2			2311,394
Computation of tax Chargeable			
Fixed Tax On 2200,000			116,000
Tax @ 20% On amount exceeding			
Rs 2200,000			
[2311,394 - 2200,000] x 20%			
111,394 x 20% = 22,279			22,279
Income tax Chargeable on			
Normal income			138,279
Add; Tax On Ex-gratia			
Received Under Golden hand Shake			
Scheme,			
Amount of Golden hand shake			479,507
x Avg Tax Rate			
2048,300 x 23.41%			

Average Rate;			
[Tax Chargeable of last three year / taxable income of last three years]			
[269,902 + 371,255 + 557,663] / [1,309,570 + 1545,850 + 2269,940]			
=> 1198,820 / 5120,360			
=> 23.41%			
Income tax Chargeable			617,786
Less: Tax deducted at Source			
Tax deducted by Company A Under Section 149 of income tax Ordinance, 2001		270,000	
Tax deducted by Company B under Section 149 of income tax Ordinance, 2001		300,000	(570,000)
Income tax payable with Return			47,786

Q No 4 :

Mr. Hayat

Tax year: 2027

Tax year ended: June 30, 2027

Residential Status: Resident

Computation Taxable income

Description	Amount Rs	Amount Rs	Amount Rs
Income from Salary (12);			
Employee Share Scheme;			
Fair Market Value of Share			

No. of Share x Per Share			
6000 Share x 20 per share	120,000		
less: Cost of Share			
No of Share x Per Share			
6000 x 12 per share	(72,000)		
=> 72,000			
Include income from Salary			48,000
Tax year 2026			
Tax year 2027			
Capital Gain			
Fair Market Value			
No of Share x Per Share		210,000	
6000 share x 35 per			
share. => 210,000			
Less: Cost of Share			
Market Value in tax		(120,000)	
year 2026, 6000 x 20			
Capital Gain			90,000
Include income from			
Salary in Tax year 2027			90,000

Q No 5:

Mr. Ainuddin Khan

Tax Year 2027

Tax year ended: June 30, 2027

Residential Status: Resident

Computation of taxable income

Description	Amount Rs	Amount Rs	Amount Rs
Income from Salary (12);			
Basic Salary			
220,000 x 12	2640,000		
bonus [2640,000 x 20%]	528,000		
Salary		3168,000	
House rent Allowance			
50,000 x 12 =>		600,000	
Conveyance Facility			
Cost of vehicles x Rate x time Period		90,000	
1800,000 x 5% => 90,000			
Residential Electricity		200,000	
Petrol for Residential Generator		5,000	
Gas bills of Residence		6,000	
Telephone bills of Residence		13,885	
Club bills		4,000	
Internet Reimbursement		9,000	
Income from Salary			4095,885
Exemption:-			
Income from Pension;			
Government pension	80,000		
Less: Exempt Pension	(80,000)		
Income from other Source (39)			
Dividend net of 15% tax = 70,000			
Gross dividend = Net Amount / (1 - interest Rate)			
= 70,000 / (100% - 15%) => 70,000 / 85%			

= 82,352.94			82,352.94
Total income			4178,237.94
Taxable income			4178,237.94
less: income Subject to SBI [			(82,352.94)
Separate block income] Gain on			
dividend.			
Taxable income Subject			4095,885
to Normal Tax			
Computation of taxable Income;			
Decision of tax rate applicability			
income from Salary / total income			
4095,885 / 4178,237.94			
98%			
Income from Salary is more than			
75% of the total income, therefore			
Mr. Ainuddin Khan is Salaried			
individual			
Fixed rate On Rs 3200,000			316,000
Tax @ 25% on amount exceeding			
3200,000.			
[4095,885 - 3200,000] x 25%			
895,885 x 25%			
= 223,971.25			
Tax Charge on Normal income			
less: Tax deducted On dividend			
82,352.94 x 15%			
= 12,352.941			
Tax payable with Returns			527,618.3

Q No 6 :

Mr. Mateen

Tax year: 2027

Tax year Ended: June 30, 2027

Residential Status: Resident

Computation of Taxable income

Description	Amount Rs	Amount Rs	Amount Rs
Income From salary (12);			
From ML;			
Compensation in lieu of Unserved Notice Period		280,000	
Unapproved Gratuity			
Amount of Gratuity	350,000		
Exemption Rule;			
50% of Gratuity [350,000 x 50%] => 175,000/-			
OR			
Rs 75,000/- (Which ever is less)	(75,000)	275,000	
leave encashment		150,000	
Income From ML			705,000
From RSL;			
Basic Salary (245,000 x 12)		2940,000	
Utility Allowance (21,000 x 12)		252,000	
Medical Reimbursement (2940,000 x 15%)	441,000		
Hospitalization (NTN is Provided by Mr. Mateen)	250,000	104,167	

Value of Conveyance;			
Cost of Vehicle x Rate x time			
2500,000 x 5% x 10/12			
Salary of housekeeper of Mr.	72,000		
Mateen Paid by RSL (6000 x 12).			
less: Amount paid by Mr. Mateen	(14,400)	57,600	
to RSL, (72,000 x 20%) => 14,400			
Special allowance, provided	50,000	-	
for official duties			
Loan from Employer;		75,000	
Amount of loan x [Bench mark			
rate - interest rate] x time period			
1500,000 x [10% - 0%] x 6/12			
1500,000 x 10% => 75,000			
Commission from RSL for			
introducing new Clients.		500,000	
Income from RSL			3928,767
Income from Salary - A			4633,767
Capital Gain (37);			
Consideration received		1,000,000	
less: Cost of Share [10,000 x 10 per share]		(100,000)	
Capital Gain B			900,000
Total Income = A + B			5533,767
less: Zakat to approved institution		250,000	
Through Cross Cheque			
less: SBI (Separate block		900,000	(1150,000)
of income) - Gain On Sale of			
Shares			
Taxable Income Subject to			
Normal Tax			4383,767

=> Computation of tax Chargeable			
Decision for tax rate applicability			
Income from Salary / Total income			
4633,767 / 5533,767			
=> 84%			
As Income from Salary of Mr.			
Mateen is greater than 75% of the			
total income therefore, Mr. Mateen			
is to be Considered as Salaried individual			
Fixed tax on Rs 4100,000/-			541,000
Tax @ 29% on amount Exceeding [4100,000]			
[4383,767 - 4100,000] x 29%			
283,767 x 29%			82,292
Income Tax Chargeable on Normal Income			623,292
Add: Tax on SBI (Separate block			
of income) - Gain on Sale of Shares.			
900,000 x 15%			135,000
Income Tax Chargeable			758,292
less: Tax Deducted at Source;			
Tax deducted by employer from		550,000	
Salary u/s 149			
Tax deducted by employer from		60,000	(610,000)
Commission u/s 233			
Income Tax Payable with Return			148,292

Q No 7 :

Mr. Aslam
Tax year 2027
Tax year Ended: June 30, 2027
Residential Status: Resident
Computation of taxable income

Description	Amount Rs	Amount Rs	Amount Rs
income from Salary (12);			
Grace University of Commerce (GUC);			
Basic Salary [100,000 x 7]	700,000		
Bonus	24,000		
Salary		724,000	
Utility Allowance (10,000 x 7)		70,000	
House Rent Allowance [30,000 x 7]		210,000	
Reimbursement of Children education fee		25,000	
Conveyance Facility;			
Cost of Vehicles x Rate x time 1500,000 x 5% x 7/12		43,750	
Medical Reimbursement			1107,750
Amount of Reimbursement	110,000		
less: 100% Exemption of medical bills along with NTN has been Provided to employer	(110,000)		
Income from Salary			1107,750
Capital Gain (37);			
Fair market Price			
No of Share x Cost per Share	25,000		

500 Shares x 50 per share			
Less: Cost of Share	(15,000)		
No of Share x Cost per Share			
500 x 30 /Share			
Less: Cost of option	(2,500)		
Rs 2,500			
Capital Gain - A		7,500	
Remaining Half			
Fair Market Value on transfer			
restriction removal date			
No of Share x Cost per Share	30,000		
500 Share x 60/Share			
less: Cost of Share	(15,000)		
No of Share x cost per Share			
500 Share x 30/Share			
less: Cost of option 2,500	(2,500)		
Capital Gain - B		12,500	
Total Capital Gain A + B =			20,000
Total income			1127,750
Taxable income			1127,750
less: income subject to SBI			
- Gain on sales of Share			(20,000)
Taxable income Subject			1107,750
to Normal Tax			

=> Computation of Taxable income
Decision of tax rate applicability;
Income from Salary / Total income
1107,750 ÷ 1127,750
=> 98.2%
Income from Salary is more than 75%

of the total income, Therefore, Mr.			
Aslam is Salaried individual			
fixed tax on Rs 600,000			
Tax @ 1% On amount exceeding 600,000			
[1107,750 - 600,000] x 1%			
507,750 x 1% => 5077.5			5077.5
Tax chargeable on Normal income			5077.5
Add: Tax on SBI - Gain On Sale of Share			3,000
Rs 20,000 x 15%			
Tax Chargeable			8077.5
less: Tax deducted at Source.			(35,000)
Tax Deducted from Salary by GUC			
Rs 5,000 x 7			
Income tax Refundable			26,922.5

Q No 8 :

Mr. Akram

Tax year 2027

Tax year Ended: June 30, 2027

Residential Status: Resident

(a) Computation of Taxable income:-

Description	Amount Rs	Amount Rs	Amount Rs
Income from Salary (12);			
basic Salary		1500,000	
Employee Share Scheme:-			
Fair Market value:-			
No of Share x Cost per Share	350,000		

5000 x 70 / Share			
less:- Cost of Share	(250,000)		
No of Share x Cost per Share			
5000 x 50 / Share			
less: Cost of option	(1,000)		
Income Under Employee Share Scheme		99,000	
Income from Salary			1599,000
Capital Gain (37);			
Consideration received on sale		450,000	
of Share [90 x 5000].			
less: Cost of Share		(250,000)	
No of Share x cost per Share			
5000 x 50 / Share			
less: Cost of option		(1,000)	
less: Income Under employee Share Scheme		(99,000)	
Capital Gain			100,000
less: Zakat to approved institution			
Taxable income			1699,000
less: income Subject to SBI			(100,000)
(separate block income) - Gain on			
Sale of Share			
Taxable income Subject to			
Normal Tax			1599,000

-> Computation of Taxable income:-

Decision of tax rate applicability:-

Income from Salary / Total income

1599,000 ÷ 1699,000

=> 94%

Income from Salary is more than 75% of the total income, Therefore Mr. Akram is an Salaried individual

Fixed Tax On Rs 1200,000	6,000
Tax @ 11% on amount exceeding Rs 1200,000	
[1599,000 - 1200,000] x 11%	43,890
399,000 x 11%	
Tax Chargeable On Normal income	49,890
Add: Tax On SBI - Gain on Sales of Share, 100,000 x 15%	15,000
Tax Chargeable	64,890
less: Tax deducted at Source;	
Tax deducted from Salary by RBL	-
Tax Payable with Return	64,890

(b) Computation of taxable income:-

Description	Amount Rs	Amount Rs	Amount Rs
Income from Salary (12);			
Basic Salary		1500,000	
Employee Share Scheme;			
Fair market Value			
No of Share x Cost per Share	350,000		
5000 x 70 => 350,000			
less: Cost of Share	(250,000)		
No of Share x cost per Share			
5000 x 50 => 250,000			
less: Cost of option	(1,000)		
Income Under employee Share Scheme		99,000	

Income from Salary			
Capital Gain / Loss (37);			
Consideration Received on Sale of		200,000	
Share [40 x 5000]			
less: Cost of Share		(250,000)	
No of Share x Cost per Share			
5000 x 50 / Share			
less:- Cost of option		(1,000)	
less:- income Under employee		(99,000)	
Share Scheme			
Capital Loss			(150,000)
Total income			1449,000
less: Zakat to approved institution			-
Taxable income			1449,000
Add: income subject of SBI -			150,000
loss on sale of Share			
Taxable income Subject			1599,000
to Normal Tax			

-> Computation of Taxable income:-	
Decision of tax rate applicability;	
Income from Salary / Total income	
1599,000 / 1449,000	
=> 110%	
Income from Salary is more than 75% of	
the total income, Therefore, Mr. Akram	
is an Salaried individual	
Fixed Tax On Rs 1200,000	6,000
Tax @ 11% on amount exceeding 1200,000	
[1599,000 - 1200,000] x 11%	
=> 399,000 x 11%	43,890

Tax Chargeable On Normal income			49,890
less: Tax on SBI - loss on sale of Share : 150,000 x 15%			(22,500)
Tax Chargeable			27,390
less: Tax deducted at Source; Tax Deducted from Salary by RBL			-
Tax payable with Return			27,390

Q No 9 :

Mr. Akber

Tax year 2027

Tax year Ended: June 30, 2027

Residential Status: Resident

Computation of taxable income

Description	Amount Rs	Amount Rs	Amount Rs
Income from Salary (12);			
Basic Salary (160,000 x 9)		1440,000	
Travelling allowance (12,000 x 9)		108,000	
Medical allowance (18,000 x 9)	162,000		
less: 10% of basic Salary Rs (1440,000 x 10%)	(144,000)	18,000	
Value of Accommodation			
Rule:-			
Actual entitlement [50,000 x 9]	450,000		
OR			
45% of MTS Rs [150,000 x 9]	607,500		

Rs 1350,000 x 45%		607,500	
(which ever is higher)			
Utilities Provided by Company		90,000	
(10,000 x 9)			
Value of Conveyance			
Fair Market Value x Rate x	56,250		
Time period			
[1500,000 x 5% x 9/12]			
Amount of loan waived off		100,000	
by employer		46,000	
Education fee Reimbursement by employer			
Income from Salary - Pakistan			2465,750
Source - A			
Income from Salary at UAE			
12,000 AED x 40 / AED		480,000	
Income from Salary -			480,000
Foreign - Source - B			
Total Income = A + B			2945,750
less: Income from Salary at			
UAE, even no tax deduction			(480,000)
Certificate Nor any Proof			
of tax deduction			
has been Provided by			
Mr. Akber, because UAE			
is income Tax free Zone.			
Taxable income			2465,750

-> Computation of taxable income;	
Fixed tax On 2200,000	116,000
Tax @ 20% on amount exceeding 2200,000	

20% x [2465,750 - 2200,000]	53,150
265,750 x 20%	
Tax Chargeable	169,150
less: Tax deducted at Source;	
Tax deducted from Salary	(63,000)
under Section 149, of income	
tax Ordinance, 2001,	
(Rs 7,000 x 9)	
Tax Payable with Return	106,150

Q No 10 :

Mr. Saeed

Tax year: 2027

Tax year Ended: June 30, 2027

Residential Status: Resident

Computation of taxable income

Description	Amount Rs	Amount Rs	Amount Rs
Income from Salary (12);			
basic Salary (600,000 x 9)		5400,000	
Medical Allowance (66,000 x 9)	594,000		
less: 10% of basic Salary	(540,000)	54,000	
[5400,000 x 10%]			
Value of Conveyance;			
Cost of Vehicle x Rate x time period		142,500	
1900,000 x 10% x 9/12			
free lunch from the reimbursement		125,000	
by one of HPL's directors			

Fixed Special Allowance for			
Performance of his official			
duties [20,000 x 9]	180,000	-	
Recognized Provident Fund;			
Employer Contribution (60,000 x 9)	540,000		
Employee Contribution (60,000 x 9)	540,000		
Exemption Rule;			
10% of Salary			
[5400,000 x 10%] => 540,000			
OR			
Rs 150,000 ✓	150,000		
[whichever is less]		390,000	
income from Salary Pakistan			6111,500
Sourced			
Income from Salary of Spain			
15,000 USD x 3 x 170 / USD		7650,000	
income from Salary - Foreign Source B			7650,000
Income from Salary = C = A + B			13761,500
Income from other Source (39)			
Dividend income			
Gross Dividend = Net Dividend			
/ 100% - Tax rate.			
Gross Dividend = Net			
Dividend + Zakat / 100% - Tax rate			
Gross Dividend 575,000 +			
62,500 / 100% - 15%			
= 637,500 / 85%			
Income from other Source - D			750,000

Total income = C + D			14511,500
less: Zakat paid Under Zakat & Ushar Ordinance, 1980			(62,500)
less: SBI [Separate block of income] Dividend			(750,000)
Taxable income			13699,000

-> Computation of taxable income;

Decision of tax rate applicability;

Income from Salary / Total income

= 13761,500 ÷ 14511,500

95%

As, income from Salary of Mr. Saeed is greater than 75% of total income, therefore, Mr. Saeed is to be Considered as Salaried individual

Fixed tax on 7000,000/-	1424,000
35% on amount exceeding 7000,000/- 35% x [13699,000 - 7000,000] [6699,000 x 35%]	2344,650
Tax Chargeable On Normal income	3768,650
Add: Tax on dividend [750,000 x 15%]	112,500
less: Tax deducted at Source;	3881,150
Tax deducted on Dividend income	(112,500)
Tax deducted from Salary u/s 149 of income tax Ordinance, 2001	(1300,000)
Tax Payable with Return	2468,650

Q No 11 :

Mr. Sajid
Tax year: 2027
Tax year ended: June 30, 2027
Residential Status: Resident
Computation of Taxable income

Description	Amount Rs	Amount Rs
Income from Salary (12);		
Leave encashment		600,000
Un-Approved provident Fund		
Employee Contribution	2000,000	-
4,000,000 x 50%		
Employer Contribution		2000,000
4,000,000 x 50%		
Unapproved gratuity;	2500,000	
Exempted Rule;		
50% of amount of gratuity		
Rs 2500,000 x 50%		
=> 1250,000		
OR		
Rs 75,000 ✓	(75,000)	
(Which ever is less)		
Taxable income		5025,000

Q No 12 :

Mr. Nasir
Tax year: 2027
Tax year ended: June 30, 2027
Residential Status: Resident
Computation of Taxable income

Description	Amount Rs	Amount Rs
Income from Salary (12);		
basic salary (800,000 x 12)	9600,000	
Cost of Living allowance (200,000 x 12)	2400,000	
Salary		12000,000
Medical Allowance (100,000 x 12)	1200,000	
less: Exemption upto 10% of basic Salary Rs 9600,000 x 10%	(960,000)	240,000
Value of Accommodation;		
Rule;		
Actual Entitlement [300,000 x 12]	3600,000	
OR		
45% of basic Salary [800,000 x 12] = 9600,000 x 45%	4320,000	
[Which ever is higher]		4320,000
Value of Conveyance:-		
Fair Market Value x Rate x time period 4,000,000 x 5%		200,000
Fuel provided by Company 250 liter x 12		

540,000 x 30%	162,000	
Reimbursement of Car maintenance	150,000	
Annual insurance Premium paid by AR		100,000
Ad-hoc relief allowance		800,000
Income from Salary - A		17660,000
Income from other Source (39);		
Cash gift on marriage	1000,000	
Car as a gift received		
from father Rs 5000,000/-	-	
Income from other Source - B		1000,000
Taxable income A + B		18660,000

-> Computation of tax Chargeable

Decision for tax rates applicability:-

income from Salary / total income

=> 17660,000 / 18660,000

=> 95%

As, income from Salary of Mr. Nasir is greater than 75% of the total income, therefore, Mr. Nasir is to be Considered as Salaried individual

Fixed Tax 7000,000/-	1424,000
Tax @ 35% On amount exceeding 7000,000/-	
[18,660,000 - 7000,000] x 35%	
[11,660,000 x 35%]	4081,000
Income Tax Chargeable on Normal income	5505,000

Tax Credit Allowed u/s 63 for investment in Approved pension fund;

[Tax payable / Taxable income] x Amount admissible for tax Credit	(1,101,000)
[5505,000 / 18660,000] x 3732,000/-	
Amount admissible for tax Credit Rule;	
20% of taxable income	
[18660,000 x 20%] => 3732,000	
OR	
Actual investment Rs 4700,000/-	
[which ever is less]	
Income tax Chargeable after tax Credit	4404,000
less: Tax Deducted at Source;	
Tax deducted by employer u/s	
149 of income tax ordinance, 2001	
Income tax Refundable	(96,000)

Q No 13 :

Mr. Salman

Tax year: 2027

Tax year Ended: June 30, 2027

Residential Status: Resident

Computation of taxable income

Description	Amount Rs	Amount Rs
Income from Salary (12);		
Basic Salary		2400,000
house Rent Allowance		600,000
Annual Bonus		480,000

Free meals Duty	450,000	
Staff Discount		40,000
health insurance	500,000	
insurance Premium	70,000	
hospitalisation expenses Paid by		
insurance Company	300,000	
Value of Conveyance:-		
Cost of Vehicle x Rate x time period		100,000
2000,000 x 5%		
Employee Share Scheme;		
Fair Market Value		
No of Share x Cost per Share		
12000 Share x 110 / Share	1320,000	
less: Cost of Shares		
No of Share x Cost per Share	(1176,000)	
12000 Share x 98 / Share		
Employee Share Scheme		144,000
Recognized Provident Fund		
Employer Contribution [2400,000 x 8%]	192,000	
Exempt Rule;		
150,000 ✓		
OR		
10% of basic salary		
10% x Rs 2400,000 => 240,000	(150,000)	
(whichever is less)		42,000
Profit of Provident Fund	211,200	
960,000 x 22%		
Rule;		
16% x 960,000 => 153,600 ✓		

Or			
1/3 of basic Salary	153,600		
1/3 x 2400,000 => 800,000			57,600
(whichever is less)			
Culinary Chef Course & Training	500,000		
Traveling Allowance [250,000 - 100,000]			150,000
Income from Salary			4013,600
Income from other Source;			
interest Received	720,000		
Gross interest => Net interest x 100 / (100 - Tax Rate)			
=> 720,000 x 100 / (100 - 20%) => 900,000			
900,000 - 720,000	180,000		
Gross interest income			900,000
Total income			4913,600
less: interest income to SBI			(900,000)
Taxable income			4013,600

Computation of taxable income:-

Decision for tax rate applicability:-

Income from Salary / total income

4013,600 / 4913,600

=> 81%

As income from salary of Mr. Salman is greater than 75% of the total income therefore, Mr. Salman is to be Considered as Salaried individual

fixed tax on 3200,000	316,000
Tax @ 25% on amount exceeding 3200,000 [4013,600 - 3200,000] x 25%	

Rs. 813,600 x 25%	203,400
income tax Chargeable On Normal income	519,400
Tax Credit On donations:	
Donation amount through cheque	
Rs 300,000 x 80% => 240,000	
[Tax payable / total income] x amount	
of admissible for tax Credit	
[519,400 ÷ 4013,600] x 240,000	
Amount Admissible for tax Credit	
Rule;	
30% of taxable income [4013,600 x 30%]	(31,058)
1204,080	
OR	
Rs 31,058 ✓	
(which ever is less)	
Income tax Chargeable after tax	488,342
Credit	
Tax on interest income [900,000 x 20%]	180,000
Tax payable	668,342
Tax withheld by TC	(400,000)
Tax withheld by bank	(180,000)
Tax Payable with Return	88,342

Q No 14 :

Mr. Najeeb

Tax year: 2027

Tax year ended: June 30, 2027

Residential Status: Resident

Computation of taxable income

Description	Amount Rs	Amount Rs
Income from Salary		
Gross Salary		180,000
Fuel allowance		27,000
Leave encashment		140,000
Recognized Provident Funds;		
Employee Contribution [3000,000 x 50%]	1500,000	
Employer Contribution [3000,000 x 50%]	1500,000	
Exemption Rule;		
10% of salary [180,000 x 10%] => 18,000 ✓	(18,000)	
OR		
Rs 150,000		1482,000
(Which ever is less)		
interest	600,000	
Exemption Rule;		
1/3 of salary [180,000 x 1/3] = 60,000 ✓	(60,000)	
Or		
16% x [interest amount / interest Rate]		
16% x [600,000 / (interest amount / Principal amount)]		
16% x [600,000 / (600,000 / 3000,000)]		
16% x [600,000 / 0.2]		
16% x 3000,000 => 480,000/-		540,000
(which ever is less)		
Approved gratuity by Commissioner,	900,000	
Exemption Rule;		
Completely exempt from tax	(900,000)	
An amount waived off by employer,		
[2000,000 x 20%]		400,000
FM Value of company owned laptop	110,000	

by Mr. Najeeb		
Cost paid by Mr. Najeeb against Purchase	(50,000)	
of Company owned Laptop		60,000
watch received as a gift from Company		80,000
Taxable income		2909,000

-> Computation of taxable income:-

Decision of tax rate applicability

income from Salary / Total income

2909,000 / 2909,000

=> 100%

As income from salary is more than the total income, therefore, Mr. Najeeb is Salaried individual

fixed tax on 2200,000	116,000
tax @ 20% on amount exceeding Rs 2200,000	
[2909,000 - 2200,000] x 20%	
709,000 x 20%	141,800
tax chargeable	
tax payable with Return	257,800

Q No 15 :

Mr. Asjad

Tax year: 2027

Tax year ended: June 30, 2027

Residential Status: Resident

Computation of taxable income

Description	Amount Rs	Amount Rs
Income from Salary (12);		
Basic Salary (1500,000 x 12)		18000,000

Medical Allowance (150,000 x 12)	1800,000	
less: 10% of basic salary		
18000,000 x 10% => 1800,000	(1800,000)	
medical reimbursement		800,000
Value of accommodation		
Actual Entitlement [250,000 x 12]	3000,000	
or		
45% of MTS [250,000 x 12]	1350,000	
3000,000 x 45%		3000,000
(which ever is higher)	-	
Un-approved Gratuity	500,000	
Exemption Rules,		
50% of amount of gratuity		
[500,000 x 50%] => 250,000		
OR	(75,000)	
75,000/- ✓		425,000
(which ever is less)		
Income from Salary		22225,000
Capital Gain;		
Fair Market Value,		
No of Share x cost per Share		
100,000 x 100 / Share	10000,000	
less: Cost of Share.		
No of Share x Cost per share		
100,000 x 25 / Share	(2500,000)	
Capital Gain		7500,000
Total income		29725,000
Taxable income		29725,000
less: income Subject to SBI [Gain on Sale of Share]		(7500,000)
Taxable income Subject to Normal income		22225,000

Computation of taxable income	
Decision of tax rate applicability:-	
income from salary / total income	
22,225,000 / 29725,000	
=> 75%	
As, Income from salary is more than	
75% of the total income, therefore,	
Mr. Asjad is an Salaried individual	
fixed rate On Rs 7000,000	1424,000
Tax @ 35% on amount exceeding (7000,000)	
[22,225,000 - 7000,000] x 35%	5328,750
15,225,000 x 35%	
tax Chargeable On Normal income	6752,750
Add: Tax on SBI - Gain on sale of	
Share	
[7500,000 x 15%]	1,125,000
tax payable with Return	7877,750

Q No 16 :

Mr. Mobeen

Tax year: 2027

Tax year Ended: June 30, 2027

Residential Status: Resident

Computation of taxable income

Description	Amount Rs	Amount Rs
Income from Salary (12);		
basic Salary		1200,000
bonus		100,000

leave encashment		50,000
Value of Conveyance;		
Cost of Vehicle x Rate x time period		
1000,000 x 5%		
Value of Accommodation		
Actual Entitlement		
[60,000 x 12] => 720,000 ✓	720,000	
OR		
45% of basic Salary		
[1200,000 x 45%] => 540,000	540,000	
(Which ever is less)		720,000
Utilities bills		200,000
Cook & guard (10,000 x 12)		120,000
Medical Allowance	75,000	
Exempt upto 10% of basic salary	(75,000)	
<- Leave fare assistance		85,000
Re location Allowance		35,000
Loan from employer:		
Amount of loan x [benchmark - interest rate] x time period		
1500,000 x (10% - 0%) x 6/12		
1500,000 x 10% x 6/12		75,000
Unapproved Gratuity	120,000	
Exemption Rule;		
50% of amount of gratuity		
120,000 x 50% => 60,000 ✓		
OR	(60,000)	
75,000/-		60,000
(which ever is less)		
inducement allowance		75,000

Employee Share Scheme		
Fair Market Value		
No of Share x Cost per Shares		
1000 Share x 350 / Share	350,000	
less:- Cost of Shares	200,000	
less:- Cost of option	200,000	
	100,000	50,000
		2820,000
Income from Salary		
Capital Gain (37);		
Fair Market value	375,000	
less: Cost of Share	(350,000)	25,000
Capital Gain		
total income		2845,000
taxable income		2845,000
less: income Subject to SBI		
- Gain on Sale of Share		(25,000)
taxable income Subject to		
Normal tax		2820,000

Computation of taxable income

Decision of tax rate applicability;

income from salary / total income

2820,000 / 2845,000

=> 99%

As, income from Salary is more than 75% of the total income therefore, Mr. Mobeen is Salaried individual

fixed rate on 2200,000	116,000
Tax @ 20% on amount exceeding 2200,000 - [2820,000 - 2200,000] x 20%	

Rs 620,000 x 20%	124,000
tax Chargeable On Normal income	240,000
Add: tax on SBI - Gain on sale of Shares	
Rs 25,000 x 15%	3,750
tax payable with Return	243,750

Q No 17 :

Mr. Arshad

Tax year: 2026

Tax year ended On June 30, 2026

Residential Status: Resident

Computation of taxable income

Description	Amount Rs	Amount Rs
Income from Salary (12);		
basic Salary		480,000
bonus		240,000
Dearness Allowance		50,000
Value of Accommodation		
Actual entitlement Rs 75,000	75,000	
OR		
45% of basic Salary		
480,000 x 45% => 216,000 ✓		
(which ever is higher)		
Gardener Salary		24,000
watchman salary		36,000
Sweeper salary		6,000
Recognised Provident Fund;		
Employer Contribution	24,000	
interest on Provident fund	18,000	

Exempt		
1/3 of Salary Rs [480,000 x 1/3]		
=> 160,000		
OR		
16% [interest Amount / interest Rate]	(16,000)	
16% [18,000 / 0.18]		
16% x [100,000] => 16,000 ✓		
[Which ever is less]		2,000
Value of Conveyance		
[cost of Vehicle x Rate x time period]		42,500
[850,000 x 5%]		
Reimbursement of Medical	50,000	
less: 100% Exemption of medical		
bills along with NTN has		
been Provided to employer	(50,000)	
Utilities bills		30,000
telephone bills		12,000
Leave fare Assistance		54,000
Commission income		30,000
benefit on purchase of car		150,200
from Employer.		
[435,200 - 285,000]		
Income from Salary		1368,700
Computation of tax payables		
fixed tax		
Slab Rate tax		6,000
[1253,500 - 1200,000] x 11%		
(53,500) x 11%		5,885
Tax Payable with Return		11,885